

bought oil-service stocks, believing that the worst was over. But two years after that, there were only 686 active rigs, and today there are still fewer than 1,000.

People who invest on the basis of freight-car deliveries were amazed when business dropped from a peak of 95,650 units delivered in 1979, to a low of 44,800 in 1981. This was the lowest total in 17 years, and nobody imagined it could get much worse, until it dropped to 17,582 units in 1982, and then to 5,700 in 1983. This was a whopping 90 percent decline in a once-vibrant industry.

Sometimes it's always darkest before the dawn, but then again, other times it's always darkest before pitch black.

WHEN IT REBOUNDS TO \$10, I'LL SELL

In my experience no downtrodden stock ever returns to the level at which you've decided you'd sell. In fact, the minute you say, "If it gets back to \$10, I'll sell," you've probably doomed the stock to several years of teetering around just below \$9.75 before it keels over to \$4, on its way to falling flat on its face at \$1. This whole painful process may take a decade, and all the while you're tolerating an investment you don't even like, and only because some inner voice tells you to get \$10 for it.

Whenever I'm tempted to fall for this one, I remind myself that unless I'm confident enough in the company to buy more shares, I ought to be selling immediately.

WHAT ME WORRY? CONSERVATIVE STOCKS DON'T FLUCTUATE MUCH

Two generations of conservative investors grew up on the idea that you couldn't go wrong with utility stocks. You could just put these worry-free issues in the safety-deposit box and cash the dividend checks. Then suddenly there were nuclear problems and rate-base problems, and stocks such as Consolidated Edison lost 80 percent of their value. Then, just as suddenly, Con Edison gained back more than it had lost.

With the economic and regulatory troubles caused by expensive nuclear plants, the so-called stable utility sector has become just as volatile and treacherous as the savings-and-loan industry or the computer stocks. There are now electric companies that were or can be tenbaggers up and tenbaggers down. You can win big or lose big, depending on how lucky or careful you are at choosing the right utility.